

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

COLOR BRANDS, LLC, *Complainant*

v.

AAF LOGISTICS, INC., *Respondent*.

DOCKET NO. 22-18

Served: March 22, 2024

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUESTING CLARIFICATION AND EXTENDING DEADLINES

On March 15, 2024, ahead of schedule, Complainant Color Brands, LLC (“Color Brands”) filed its Remand Brief and Declaration with exhibits. Color Brands provided support for its requests for reparations for insurance premium payments and for unpaid cargo loss or damage claims. Clarification is required to determine the appropriate amount of reparations. Additional time will therefore be provided to both parties.

Please note that the Office of the Secretary was asked if it had evidence regarding the date that the claim was filed and responded that their records show that the complaint was filed on August 11, 2022. The parties may raise any arguments regarding this date in their briefs. As noted by the Commission, reparations are only available for actual injury if the complaint is filed within three years after the claim accrues. Remand Order at 3. In addition, the complaint alleged Shipping Act claims, not claims under the Carriage of Goods by Sea Act (“COGSA”). Therefore, limitations on the timeframe for filing COGSA claims do not apply.

The complaint alleges that Respondent AAF Logistics, Inc., a common carrier, handled over 1,250 shipments for which insurance premiums were paid but insurance not obtained, and that eighteen orders sustained damages. Complaint at ¶¶ 5, 13-14. In the exhibits submitted, one bill of lading, TORMN111076, lists the place of receipt as Toronto, Ont; the port of loading as Vancouver, BC; and the place of delivery as Manila North Port, PH. Complainant’s Exhibit 9 at 40-41. A common carrier, in part, “uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(7)(A)(iii); *see also* 46 C.F.R. § 515.2(e)(2). Shipments that did not utilize a United States port may not be eligible for reparations.

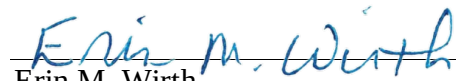
The chart in Complainant's exhibit 1 lists information including the destination. However, the chart does not include the departure port. Therefore, clarification is needed to determine whether each shipment was transported by water between a port in the United States and a port in a foreign country. Color Brands should submit a Supplement Declaration and additional exhibits, which should be numbered starting at exhibit 10, so they have different numbers than the exhibits already submitted into the record.

The Supplement Declaration should indicate if the shipments were by water between a port in the United States and a port in a foreign country. The Supplement Declaration also should state whether or not Color Brands received any compensation from any source for the damaged or lost cargo. In addition, the Commission will calculate interest from the date of injury. If Color Brands is also seeking interest prior to the date of injury, it should provide legal support for its arguments.

The additional exhibits should include a Revised Chart which includes all of the information in the exhibit 1 chart and adds one column identifying the port of departure for each shipment. Additional shipments that are within the three-year reparations timeframe may be added to both the insurance payment and damage/loss claims. If Complainant has additional information about the shipments that were damaged or lost, that would be helpful to include in the record as additional exhibits.

To manage this proceeding most efficiently, Color Brands will be given an opportunity to file their Supplement Declaration and additional evidence prior to the deadline for AAF Logistics, Inc. to file its response.

Accordingly, it is hereby **ORDERED** that Complainant file a Supplement Declaration and additional evidence by April 11, 2024. Respondent shall file its response to all of Color Brand's remand filings by May 13, 2024. All filings should be emailed to secretary@fmc.gov, with copies to the other parties and to judges@fmc.gov.


Erin M. Wirth
Chief Administrative Law Judge